

Aeroflex Industries Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: AEROFLEX · BSE: 543972 · Report prepared 3 Aug 2026 ·

Continuity report — follows our Q4-2026 report

Not investment advice. Do your own due diligence. An AI-generated reading of the company's own earnings-call transcripts and public financials. This is **Aeroflex Industries Ltd** — not the separately listed Aeroflex Enterprises Ltd, which is a different company covered elsewhere in this repository.

1 Snapshot

What the business does: Aeroflex makes **stainless-steel flexible hoses and hose assemblies** — the braided metal pipes, fittings and connectors that carry gas, chemicals, steam, fuel and coolant safely around factories, refineries, ships, railways and data centres. Think of it as the flexible plumbing of heavy industry. It exports to 80+ countries and earns better margins the further it moves up the chain: from selling a plain length of hose, to selling a *fitted assembly* (hose plus end-fittings, cut, welded and pressure-tested), to selling a complete **SFN skid assembly** — a pre-built, pipework-and-valves module that circulates liquid coolant through an AI data centre. Wholly-owned subsidiary **Hyd-Air Engineering** makes the fittings in-house.

Measure	Value	What it means in plain words
Market cap	₹5,707 cr	What the whole company is worth on the stock market — a small-cap. Up from ₹5,369 cr at our last report.
Q1 FY27 revenue	₹145.97 cr	Sales in the June 2026 quarter, up 72.4% on the ₹84.7 cr of a year ago — the biggest quarter the company has ever had.
Q1 FY27 net profit	₹18.79 cr	Profit after every cost and tax — up 162%. One quarter now earns a third of what all of FY26 did.
Q1 FY27 operating margin	23.0%	₹23 of operating profit per ₹100 of sales, before interest, tax and depreciation (EBITDA = earnings before interest, tax, depreciation and amortisation). Up 4.7 percentage points on last year; down 0.8 on last quarter.
Trailing-12-month sales	₹472 cr	Last four quarters combined, against ₹412 cr for FY26 — the run-rate is already 15% above the completed year.
Borrowings (Mar 26)	₹9 cr	Against ₹446 cr of net worth. Effectively debt-free; the whole expansion is being paid for out of its own cash.
ROCE (FY26)	18.9%	Return on capital employed — ₹19 of operating profit per ₹100 of money tied up. Healthy, but has fallen from 34% in FY23 as new plant was built ahead of the sales it will serve.
Working capital days	120 days	Cash locked up in stock and unpaid customer bills. Four months of sales sitting idle — high, and barely better than FY25's 124 days.
Stock P/E	85.5×	The share price is 85 times yearly profit. Cheaper than the 97× at our last report only because profit grew, not because the price fell. Still priced for years of fast growth.

2 Concall coverage

Period	Call date	How it is treated in this report
Q2 FY24 → Q3 FY26 (nine calls)	Nov 2023 – Feb 2026	Carried forward from our Q4-2026 report. Read in full at the time; used here as backstory, not re-read.
Q4 / FY26	6 May 2026	Coverage boundary of the prior report. Re-checked for the exact guidance figures used in the comparison below.
Q1 FY27	28 Jul 2026	Newly deep-read in full ★ — the one genuinely new call since our last report.

Coverage verification — done independently of the scraper. Screener lists **16 concall rows** for Aeroflex. Thirteen carry a real *Transcript* link; all thirteen were downloaded and each was opened and confirmed to be a genuine transcript (not a slide deck). Two of the thirteen are **duplicate filings of the same call** — the Q3 FY24 call held 29 Jan 2024, filed twice on 2 and 3 Feb 2024 — so the true count is **12 unique calls with a readable transcript**: exactly the 11 in our last report plus the new Q1 FY27 call. **Three rows carry no transcript link at all** and are genuine gaps in Screener's coverage: Jan 2024, the second Aug 2024 entry, and Jan 2026. Each of those three sits next to a row that *does* hold the transcript for the same results cycle (Q3 FY24, Q1 FY25 and Q3 FY26 respectively), so no earnings call appears to be missing from the analysis — but that cannot be proved from Screener alone, and it is recorded here rather than glossed as "no gaps".

★ Latest concall highlights — Q1 FY27 (call held 28 July 2026)

- **The best quarter in the company's history, and not by a small margin.** Revenue ₹145.97 cr, up 72.4% year-on-year. Operating profit ₹33.5 cr, up 116%. Net profit ₹18.79 cr, up 162%. Every single line grew faster than the one above it — the classic signature of fixed costs being spread over much more volume.
- **Data-centre cooling skids hit the full-year target in the first quarter.** SFN skid assemblies did ₹32.4 cr, or ~23% of revenue, on 1,040 units — against management's May guidance of 20–22% for the whole of FY27. Read: the newest business arrived a year early. Asked to raise the full-year number, management refused and said they would answer at year-end.
- **The old engine is not being neglected.** The core flexible-hose business still grew 41% on its own, and exports grew 43%. Read: this is not a one-product story propped up by a fashionable new line — the boring base business is compounding at 40%+ too.
- **A third leg is about to arrive.** Fire-hose assemblies for data centres are "almost at the end of completion", to be commercialised by end of Q2 or start of Q3 FY27, at **23–26% margins**, sold internationally to Aeroflex's largest US customer. Read: an entirely new, high-margin, export product is weeks away from first revenue.
- **Margin dipped 0.8 points on the previous quarter — and management explained it without being cornered.** Cause: hiring for the new skid line, a new plant being set up at Chakan (Pune) for an international customer, and a jump in freight costs from the West Asia crisis. Read: the dip is money spent on next year's revenue, not a pricing problem — but the freight cost is outside their control and is a live risk.

Business mix & capacity (Q1 FY27).

Domestic vs export — the exact split was *not* disclosed on this call. Management gave only that exports grew 43% year-on-year and that domestic's share rose because of skids. Applying that to the disclosed 28% domestic share of Q1 FY26 gives roughly **60% exports / 40% domestic**, in line with the 60/40 reported for Q4 FY26. Read: Aeroflex is still an exporter first, but domestic is now two-fifths of sales versus a quarter two years ago — entirely because **every skid sold so far has gone to an Indian customer**. International skid orders are promised within FY27 but have not yet happened.

Product mix: fittings and assemblies were **63% of sales**, plain hose 37%. Read: almost two-thirds of what leaves the factory is now a finished, value-added item. Plain hose earns 16–20% margins; assemblies earn 22–26%; fire-hose assemblies will earn 23–26%. The mix shift is the margin story.

Flexible-hose capacity: 17.5 million metres a year, running at **65–66% utilisation**, expanding to 20 million metres by Q3 FY27 (was guided Q2). At full use with 70% assemblies, management sizes this at **₹650–675 cr of annual revenue**. Read: the core plant alone can carry sales to roughly 1.5× the current run-rate before another rupee of capex is needed.

Skid capacity: raised from 6,000 to **9,000 units a year**, going to 15,000 by the start of Q3 FY27 (October–November, dependent on machine suppliers). Total budgeted capex for the 2,000→15,000 journey is **₹48 cr**; the hose expansion is **₹54 cr** spread over FY25–FY27. Q4 FY27 exit target of 60–65% use of the 15,000 line (~750 skids a month) was reiterated as intact; 80% is treated as optimum and expected in FY28. Read: the growth is capacity-led and the capacity is being bought with cash the company already has.

Smaller units: Hyd-Air fittings ₹7 cr in the quarter (~₹28 cr annualised, versus ₹31.6 cr in FY26); metal bellows ₹3 cr (~₹12 cr annualised, versus ~₹8 cr in all of FY26). Read: bellows is finally moving, Hyd-Air has stopped growing.

★ 2d. Since our last report

Prior report: Q4-2026 folder, dated 9 July 2026, covering 11 calls from Q2 FY24 (Nov 2023) to the **coverage boundary of Q4 / FY26 (call held 6 May 2026)**. Its two verdicts were **durable earning trigger → YES** and **management consistent → YES**. Its thesis: a proven margin ladder from plain hose into fitted assemblies, plus a brand-new second engine in data-centre cooling skids. Its live things-to-watch: metal-bellows execution, and an approved-but-unspent ₹400 cr QIP (qualified institutional placement — a share sale to large investors) earmarked for an overseas acquisition.

Prior read	What we said then	What the new call shows	Movement
FY27 growth guidance	~35% for the full year — "more bullish than at any earlier call".	Q1 came in at +72.4%. Management did not raise the full-year number, saying they judge the business annually, not quarterly.	Improving
Margin ladder to 25%	FY27 target ~23%, then 25% "over the next couple of years".	Q1 at 23.04% — already at the FY27 target in the first quarter, though 0.8 points below Q4 FY26 on expansion costs. The 25% goal was restated unchanged.	On-track
Skids = 20–22% of FY27 sales	The single boldest number in the last report — a business that		Confirmed

	was zero a year earlier reaching a fifth of revenue.	Already 23% in Q1, on 1,040 units versus 617 in all of FY26. Management declined to upgrade the full-year figure.	
Skid capacity 6,000 → 15,000	Guided "within two quarters".	At 9,000 now; 15,000 by start of Q3 (Oct–Nov), with machine-supplier delays openly flagged. Q4 exit run-rate of ~750 skids/month reiterated.	On-track
Hose capacity 17.5 → 20 m metres	Due by roughly Q2 FY27.	Now guided to Q3 FY27. A one-quarter slip, stated plainly rather than buried.	Slipping
Metal bellows	The one clear soft spot — ₹8 cr in FY26 against a promised ₹80–85 cr peak; openly "behind schedule".	₹3 cr in Q1 alone — roughly a ₹12 cr annual pace, up ~50%. Management expects "a real uptick" over the next two quarters. Still a seventh of the original promise, three years on.	Improving
Hyd-Air fittings	Delivered on plan — ₹31.6 cr in FY26 at ~60% use.	₹7 cr in Q1, an annualised ₹28 cr — flat to slightly down. A capex plan is "under discussion", unannounced. Confirmed as internal-use only, not sold to rival skid makers.	Slipping
US tariff cloud	Fell from 50% to ~10–15%; "we don't have any issues with tariffs as I speak."	Tariffs were not raised once on the entire call — not by management, not by any of the eleven analysts. A dead issue.	Confirmed
₹400 cr QIP for an overseas acquisition	Approved but unspent; flagged as one of two things to watch.	Not mentioned at all — and not mentioned in the two calls before this one either. The last word, in Aug 2025, was that the QIP happens only once an acquisition is signed. No acquisition has been signed.	Dormant

Both verdicts are unchanged at YES, and the trigger verdict is held with more conviction than last quarter.

The reason is simple: eleven weeks after guiding 35% growth and a 23% margin for the full year, Aeroflex delivered 72% growth at a 23% margin in the first quarter, on precisely the drivers it had named. Nothing in the new call contradicts the old story; the new call is the old story arriving faster. The three softer items — a one-quarter hose slip, a flat Hyd-Air and a QIP that has gone quiet — are real and are named in the verdicts below, but none of them touches the engine.

★ 3. Earning-trigger thesis

Aeroflex has **two engines running at once, and a third starting**. The proven engine is the climb from plain hose into fitted assemblies: 63% of sales are now value-added items earning 22–26% margins instead of 16–20%, which is why operating margin has gone 20% (FY23) → 24% (FY26) → 23% while absorbing expansion costs. The new engine is **SFN skid assemblies for AI data-centre liquid cooling** — modules that circulate coolant through server halls, roughly 40 skids per megawatt of cooled load. That business was zero eighteen months ago and is 23% of revenue today. The third is fire-hose assemblies for data centres, weeks from first sale at 23–26% margins. Crucially, the base business is *not* being cannibalised to feed the new one — it grew 41% on its own in the same quarter. **What the story is missing is contractual visibility**: there is no order book, only a rolling two-month dispatch schedule from a single Indian intermediary customer, and every skid sold to date has gone to that one customer.

Trigger	What management said	Evidence so far	Change since last report	Strength
Value-added assembly mix & margin ladder	Push assemblies toward 70% of hose sales; blended EBITDA margin to 25% "over the next few years".	Assemblies/fittings 63% of Q1 sales. Margin 20%→24%→23.0% while paying for two expansions. Peak hose revenue sized at ₹650–675 cr.	Mix keeps climbing (52% value-added at FY26 to 63% now, on a slightly wider definition). 25% goal restated, not moved.	Strong Measurable, delivered for three straight years, and self-funding.
Data-centre cooling skids	20–22% of FY27 revenue; capacity 2,000→15,000 units on ₹48 cr capex; 60–65% use by Q4 FY27.	₹32.4 cr / 1,040 units / 23% of revenue in Q1 alone. Capacity at 9,000. Named competitors are Senior and Parker — global names, so the product is credible.	Upgraded. Was "early but real" — the full-year target was met in Q1 and capacity is being chased upward, not downward.	Strong Was Moderate. Real revenue at scale now, but see the concentration caveat.

Fire-hose assemblies (new)	Commercialised end-Q2 or start-Q3 FY27; 23–26% margins; international, to the largest US customer.	Nothing yet — pre-revenue. Investment already made against customer projections. Management declined to size it.	New this quarter. Did not exist in the last report.	Unproven Right margin, right customer, but not one rupee has been earned.
Metal bellows	28–30% margin niche; ₹80–85 cr peak revenue.	₹3 cr in Q1 (~₹12 cr pace) against ~₹8 cr in all FY26. "Real uptick" promised in the next two quarters.	Improving off a tiny base, but still a seventh of the original promise after three years.	Weak but improving The oldest unkept promise in the file.
Hyd-Air backward integration	Make fittings in-house; internal use only, not sold to rival skid makers.	₹7 cr in Q1 (~₹28 cr annualised) vs ₹31.6 cr FY26. Supplies fittings for hose assemblies, not yet for skids.	Downgraded. Was "delivered". Growth has stalled and the capex plan is still unannounced.	Moderate Useful, integrated, but no longer adding growth.

4 Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24–FY25 (carried fwd)	~25% operating-profit growth, a rising margin, hose capacity to 16.5 m metres by Dec 2024, assembly mix to keep climbing.	All landed — FY25 operating profit +24%, capacity hit on schedule, assembly mix reached ~49% a year early, robotic welding commissioned.	Delivered
Q4 FY24 (carried fwd)	Hyd-Air acquisition (₹17 cr) to add fittings and railway revenue.	Integrated; ₹31.6 cr of FY26 revenue; railway orders won. But now flat — see above.	Delivered, then stalled
FY25 (carried fwd)	Metal bellows to ramp to ₹80–85 cr; miniature bellows 240k units by Mar 2026.	~₹8 cr in FY26, ~₹12 cr pace now. Miniature-bellows capital was openly redeployed into liquid cooling instead.	Missed
Q1 FY26 (carried fwd)	After the only revenue fall in its listed life (–6% on the US tariff shock), called it a "blip" and kept the growth guide.	Correct call — FY26 finished +17%, Q4 +38%, and Q1 FY27 is +72%.	Delivered
Q4 FY26 (6 May 26)	FY27 revenue growth ~35%; FY27 EBITDA margin ~23%; base business 15–20%; skids 20–22% of sales; skid capacity to 15,000; hose to 20 m metres by ~Q2.	Q1 delivered +72% revenue, 23.0% margin, base hose business +41%, skids at 23%. Skid capacity at 9,000 en route to 15,000. Hose expansion slipped one quarter to Q3.	Beaten on five of six
FY25–FY26	₹400 cr QIP to fund an overseas acquisition.	Nothing raised, nothing bought, and unmentioned for three consecutive calls. Management's stated condition — QIP only after a deal is signed — has not been withdrawn, so it is dormant rather than broken.	Dormant
Q1 FY27 (28 Jul 26)	Fire-hose assemblies live by start of Q3; first international skid orders within FY27; 15,000 skids by start of Q3; ~750 skids/month by Q4; 80% skid use in FY28.	All forward-looking. The next two calls will settle every one of them.	Too early

Narrative drift. There is almost none, and that is the striking thing about a company whose revenue mix has changed this fast. The sentence management has repeated on all twelve calls — *move up from hose into assemblies, expand margin, stay debt-free, fund growth from cash* — is still the sentence they open with, and the data-centre business was bolted on top of it rather than substituted for it. Three specific behaviours in the new call are worth naming because they cut against the usual small-cap pattern. First, **they refused a free upgrade**: an analyst pointed out that the 20–22% full-year skid target had already been beaten in Q1 and invited them to raise it; management declined and said they would answer at year-end. Second, **they explained a margin dip they were not accused of**, attributing the 0.8-point sequential fall to Chakan plant set-up, skid-team hiring and West Asia freight rather than letting it pass. Third, **they gave a hard number on a soft question** — 40 skids per megawatt of cooled load — which is the kind of figure that can be checked against them later. Against that, two habits are less good: capacity dates keep sliding by a quarter (16.5 m metres, then 20 m metres by Q2, now Q3), and the ₹400 cr QIP has simply stopped being mentioned rather than being formally withdrawn. Tone across the file has moved confident (FY24) → briefly defensive (Q1 FY26 tariff shock) → bullish (Q4 FY26) → **matter-of-fact about an extraordinary quarter** (Q1 FY27) — which, on a 72% growth print, is restraint rather than spin.

5 Bottom line — two verdicts

Durable earning trigger? → YES · vs last quarter: unchanged at YES, held with more conviction

The trigger is not a forecast any more; it is in the printed numbers. Revenue grew 72%, operating profit 116% and net profit 162% in a single quarter, and the two things management said would cause that — the mix shift into value-added assemblies and the data-centre cooling skids — are exactly what did cause it. The mix is now 63% assemblies at 22–26% margins against 16–20% for plain hose, which is a mechanical, repeatable margin ladder with room left to climb. Skids hit the full-year revenue-share target in the first quarter, capacity is going to 15,000 units on ₹48 cr of cash the company already has, and a third product at 23–26% margins is weeks from launch. The core hose plant is only 65% used and can carry ₹650–675 cr of sales — 1.5× today's run-rate — before more capex is needed, and the balance sheet carries ₹9 cr of debt against ₹446 cr of net worth. **Three things stop this being risk-free rather than stopping it being a Yes.** Every skid so far has gone to one Indian customer who is itself an intermediary, and there is no order book — only a rolling two-month dispatch schedule. Working capital is 120 days, so FY26 turned ₹98 cr of operating profit into ₹1 cr of free cash: the growth is real but it is eating cash, and a stumble would be felt immediately. And at 85 times earnings the price already assumes all of this works. The trigger is durable; the valuation is not forgiving.

Management consistent? → YES · vs last quarter: unchanged at YES

Eleven weeks before this call, management guided to 35% revenue growth and a 23% margin for FY27. In the first quarter they delivered 72% growth at a 23.0% margin, with the base business alone up 41% and the new skid line already past its full-year target. That is not a company managing expectations downward and then meeting them; it is a company beating a number it had just raised. Across twelve calls the pattern holds: the capacity roadmap has been hit, the margin ladder has been climbed, Hyd-Air was bought and integrated as described, and the one bad quarter in the company's listed life was correctly called temporary and fully recovered. Just as important, they behave well when it costs them something — declining to upgrade a target they had already beaten, volunteering the reason for a sequential margin dip nobody had challenged, and admitting the 15,000-skid line may slip to November because a machine supplier is late. **Two marks against them, and they are the same two as last quarter.** Metal bellows was promised at ₹80–85 cr in FY25 and is running at roughly ₹12 cr three years later — improving, but a genuine, long-standing miss. And the ₹400 cr QIP for an overseas acquisition has now gone three consecutive calls without a single mention: management never withdrew it, so it is dormant rather than abandoned, but shareholders were told about a fundraise and have since been told nothing. Neither is enough to move the verdict. Both should be asked about on the next call, along with whether the first international skid order actually lands inside FY27.

Sources: Aeroflex Industries Ltd earnings-call transcripts filed with BSE/NSE, sourced from Screener.in — **Q1 FY27 (call 28 Jul 2026, filed 30 Jul 2026), deep-read in full for this report;** Q4 FY26 (call 6 May 2026) re-checked for guidance figures; Q1 FY26 (4 Aug 2025) re-checked for the domestic/export base. The nine earlier calls, Q2 FY24 (Nov 2023) through Q3 FY26 (Feb 2026), are carried forward from our Q4-2026 report on this company. Screener.in financial history (profit & loss, balance sheet, cash flow, ratios, quarterly results, shareholding) as at 3 Aug 2026.

A note on the numbers: figures quoted from the call are *consolidated*, management's basis — Q1 FY27 revenue ₹145.97 cr, EBITDA ₹33.5 cr, PAT ₹18.79 cr. Screener's quarterly table is *standalone* and shows ₹139 cr, ₹33 cr and ₹19 cr for the same quarter. Both are right on their own basis; the gap is the Hyd-Air subsidiary. The Q1 FY27 domestic/export split of ~40/60 is **derived, not disclosed** — management gave only "exports +43% year-on-year", applied here to the 28% domestic share they disclosed for Q1 FY26.

Identity check: this report covers **Aeroflex Industries Ltd** (NSE/BSE: AEROFLEX, BSE code 543972), confirmed against the Screener company record. It is a different company from Aeroflex Enterprises Ltd.